XI'AN JIAOTONG-LIVERPOOL UNIVERSITY

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COURSEWORK SUBMISSION COVER SHEET

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Introduction

As China Lodging Group (CLG) continued its rapid expansion, it faced a management control challenge: how to grow a multi-brand hotel group while controlling costs, maintaining service consistency and preserving entrepreneurial energy. This report assesses if CLG's strategy, Balanced Scorecard (BSC) and redesigned incentive system created an effective control structure to meet that challenge. It first identifies the strategy and critical success factors (CSFs) for CLG's growth, and then evaluates if the original BSC was aligned with these priorities or promoted metric chasing. The report also assesses the impact of the incentive changes in Case B, and recommends an enhanced BSC to better tie financial accountability to customer satisfaction, operational consistency, digital capability and management ownership.

Question 1. Strategy and Critical Success Factors

Through multi-brand expansion and strong operational control, CLG grew rapidly in China's hotel industry. In this section, CLG's business strategy and the CSFs that facilitated its quick growth are examined.

CLG's business strategies

Based on multi-brand positioning, operational efficiency, service standardisation, digital systems and member loyalty, CLG's strategy was to build the hotel network rapidly. By the end of 2014, CLG had seven brands with 1,995 hotels in 300 cities, covering economy to high-end segments, and expected to operate 5,000 hotels by 2021 (Sandino, Li and Huadai, 2016a). Its multi-brand structure helped CLG reach various customer segments and reduce dependence on one segment. Meanwhile, standardised processes, centralised management and cost control improved efficiency, shown by the decrease in the staff-to-room ratio from 0.32 in 2007 to 0.17 in

2014. Unified service standards, Huazhu University training, central reservation, CRM and property-management systems made expansion more controllable. Moreover, its loyalty programme, with more than 31 million members, helped to retain customers and support their repeat demand (Sandino, Li and Huadai, 2016a). Thus, CLG's expansion was not only about opening more hotels, but also about creating a scalable and controllable hotel operating system.

Main drivers of competitive advantage in the hotel industry

In the hotel market in China, the key factors of competitive advantage were primarily brand coverage, efficient operation, customer loyalty and digital capability. As summarised in Table 1, high buyer power and intense rivalry made customer trust and repeat demand important for CLG, while medium threats from new entrants and substitutes made standardisation, scale and control enabled by IT more important.

Table 1. Five Forces Analysis of Hotel Industry in China

Five forces	Rating	Justification
Threat of new entrants	Medium	Low barriers for single hotels; high requirements for chain-scale expansion, including brand recognition, IT systems and standardised management
Bargaining power of suppliers	Low	Fragmented suppliers; scale purchasing and centralised procurement advantages for large hotel chains
Bargaining power of buyers	High	Low switching costs and strong price sensitivity; greater need for brand trust, service consistency and loyalty programmes
Threat of substitutes	Medium	Substitutes from hostels, short-term rentals and local hotels; weaker standardisation and brand reliability than chain hotels
Intensity of rivalry	High	Fragmented and competitive market; rivalry over price, location, service quality and expansion speed

This competitive environment explains why CLG's CSFs were closely linked to scale, efficiency, standardisation, digital capability and customer retention.

CSFs for CLG

From the strategy and industry analysis above, CLG rapid growth relied on four CSFs. Firstly, multi-brand diversity and broad geographic reach were important as CLG needed to cover economy, midscale and higher-end segments and strengthen its market presence at a national

level. Secondly, efficient operations and service standardisation were important because rising labour and rental costs made cost control and consistent service necessary for profitable expansion. Thirdly, digital and IT-enabled operating infrastructure supported CLG's central control of a geographically dispersed hotel portfolio, particularly in the areas of reservations, CRM and property-management systems. Fourthly, CLG had built up strong brand equity and member loyalty, which helped to reduce marketing costs, stabilise occupancy and keep their customers in a market with high buyer power and low switching costs. The CSFs were mutually reinforcing: scale drove market reach, efficiency protected profitability, standardisation supported quality of service, digital systems enabled control, and loyalty generated repeat demand.

Cause-and-effect analysis: How CSFs underpin CLG's rapid expansion

Brand diversity and geographic coverage: CLG's diversified brand portfolio and nationwide coverage helped serve different customer groups and reduce dependence on a single market. Its presence in both economy and mid/high-end sectors provided a wider revenue base, while broader city coverage boosted brand recognition and bargaining power in new markets (Sandino, Li and Huadai, 2016a; Sandino, Li and Huadai, 2016b). This helped CLG enter new regions and replicate its hotel model on a larger scale.

Effective operations and standardisation of services: CLG's effective operations helped to control costs and maintain consistent services across the hotels' various formats. The reduction in the staff-to-room ratio from 0.32 to 0.17 indicated the increased labour efficiency and it also helped ease rising cost pressures (Sandino, Li and Huadai, 2016a; Sandino, Li and Huadai, 2016b). Combined with the standardised procedures, this shortened the break-even period of new hotels and facilitated expansion without compromising profitability.

Digital and IT-enabled operational infrastructure: CLG's central reservation, property-management and CRM systems enabled larger-scale network control to be more feasible (Sandino, Li and Huadai, 2016a). These systems improved booking efficiency,

customer data management, operational monitoring and process standardisation. As CLG moved from economy hotels to the mid/high-end segments, digital infrastructure reduced management complexity and made its business model easier to replicate.

Brand equity and member loyalty: CLG's strong brand and membership base created stable demand for existing and newly opened hotels. Its loyalty programme had more than 31 million members, accounting for about 85% of room nights in 2014 (Sandino, Li and Huadai, 2016a). This lowered the requirement for heavy local marketing, provided greater stability in occupancy rates and decreased the risk for rapid network expansion.

Overall, these CSFs worked together to make CLG's expansion scalable and controllable. Multi-brand coverage created market reach; operational efficiency protected profitability; service standardisation maintained customer trust; IT systems enabled centralised control; and member loyalty generated repeat demand. These factors also provide the basis for evaluating whether CLG's original BSC measured the real drivers of its strategy in Question 2.

Question 2. Evaluating CLG's Balanced Scorecard Design

Purposes of the BSC

The BSC, serving as a performance management system, plays a significant role in corporate strategy implementation. The concept is first introduced by Kaplan and Norton (1992), who combines traditional financial measures with non-financial measures to form a structured framework to evaluate business performance. Kaplan and Norton (1996) further develop this system into four perspectives, which are financial, customer, internal business process and learning and growth respectively. Thus, a cause-and-effect chain exists, where learning and growth at the bottom level supports the improvement of internal business process, resulting in a better customer outcome and a corresponding favourable financial performance. Through this process, the BSC applies performance metrics to transfer abstract corporate strategy and mission into detailed and measurable objectives and targets. This serves the purpose of guiding

managers and employees to monitor and conduct daily operational activities, contributing to broader strategic goals.

Measures and Strategic Alignment of CLG's Original BSC

Therefore, this section will mainly evaluate CLG'S original BSC, excluding the changes in grouping hotel managers into regional operating units, profit sharing and BSC weighting.

A relatively structured and well-organised BSC is designed by the management team of CLG, with both financial and non-financial measures involved. That can be the first strength of the BSC design, which considers the metrics from two aspects and avoid a purely profit-oriented tendency. According to the metrics disclosed by CLG, financial measures include Revenue and GOP (gross operating profit) while non-financial measures involve customer satisfaction, basic management and employee management (Sandino, Li and Huadai, 2016a). Revenue and GOP are two lagging indicators, reflecting the financial outcomes of the hotels' past operating performance. On the other hand, customer satisfaction from the customer perspective, basic management from the internal process perspective and employee management perspective can work as leading indicators to reflect the reasons for possible financial performance fluctuations and enable the management team to respond at an early stage.

However, the effective use of BSC goes beyond setting up financial and non-financial measures only. Further evaluation on the alignment between these metrics and CLG's strategy and critical success factors identified in Question 1 above should also be conducted.

In terms of the strategy of rapid scale expansion, CLG sets different measure proportions for leased-and-operated hotels and franchised-and-managed hotels, effectively building the management system in line with the different hotel operation modes. However, the critical success factor, the multi-brand network coverage, is hard to measure with the original BSC because Revenue and GOP only focus on the performance of each existing hotel and there are no effective non-financial measures evaluating the managers' contribution to wider expansion like identifying new hotel opportunities.

From the internal process level, the basic management monitors the operating standards and internal control, guaranteeing the compliance, efficiency and quality of service across its whole

hotel network. With the use of GOP metric, it can support the company's operational efficiency and cost-control strategy. Besides, with the customer satisfaction metric, it matches the requirement of service standardization and quality consistency. Still, Sandino, Li, and Huadai (2016a) notes that the match is incomplete since customer satisfaction can be manipulated by gaining positive feedback through free room upgrades. This movement clearly does not lead to a real improvement in service.

Similarly, a weak alignment between the BSC design and member loyalty & retention strategy is also spotted. The non-financial metrics from the customer perspective is relatively pale with the absence of figures to detect customer retention or customer loyalty. Customer satisfaction figure fails to ensure the conversion rate of customers turning into loyal CLG members, which shows a mismatch with the CSF of high returned customers business pattern.

Besides, CLG's strategy of digital & IT-driven operation and entrepreneurial culture & ownership-driven incentive seems to be lack of direct measurements. The original BSC is lack of learning and growth level metrics identifying technology-related improvements while CLG greatly count on its IT system serving for the whole hotel network. Moreover, the BSC only encourages managers to be responsible for their own hotels' performance, cutting the tunnel of entrepreneurial behaviours including regional market opportunity identification and cross-unit collaboration from being rewarded.

To conclude, CLG's original BSC is only partially aligned with its strategy and CSFs, especially because it lacks measures to assess the capability of maintaining customer loyalty, digital capability and managerial ownership. This weak alignment, together with the growing proportion of hotel-level financial results weighting and the problematic design of some non-financial measures, further explains why the system leads to metric chasing.

Metric Chasing

The original BSC highly links managers' bonuses to the scores and fails to reward behaviours that benefit the company if they are out of the scorecard. Thus, managers tend to manipulate existing indicators like the customer satisfaction mentioned above and the employee turnover ratio to receive higher scores, but no exact operational improvement is made. According to

Sandino, Li, and Huadai (2016a), managers can place employees into another position 3 months before they actually leave the hotel to reduce the turnover rate. Such weakness can discourage employees from contributing to the service improvement, market expansion and effective management and requires an incentive system to be discussed in Question 3.

Question 3. Incentives, Ownership, and Manager Behaviour

Following the evaluation of CLG's original BSC design and its behavioural limitations, Case B shifts the focus from measurement design to incentive reform. CLG's redesign was not simply a bonus adjustment, but an attempt to make its control system fit rapid expansion. Higher profit-sharing, revised BSC weighting, bottom-up budgeting and operating units pushed managers beyond target compliance toward ownership, cooperation and strategic execution. The key issue is whether these reforms improved managers' ownership, collaboration and long-term strategic focus without creating excessive short-term financial pressure.

Ownership

CLG's reforms are likely to increase managers' sense of ownership by strengthening economic accountability for hotel-level performance. Higher profit-sharing rates and increased financial weighting in the BSC made managers' rewards more sensitive to revenue and profit outcomes (Sandino, Li and Huadai, 2016b). This is consistent with agency theory as the use of performance-based incentives can make the manager's interests and those of the organisation more aligned (Jensen and Meckling, 1976). It also reflects expectancy theory, as managers' motivation may increase when there is a strong link between effort, performance, and reward (Vroom, 1964). As a result, managers had stronger incentives to consider the financial consequences of daily operating decisions. The main benefit is increased target commitment, but if the weighting of non-financial measures is reduced, managers may pay less attention to customer satisfaction, employee development and service quality.

CLG also increased ownership through planning participation. Bottom-up budgeting involved front-line managers submitting business plans, giving them more influence over setting targets

and requesting resources for their hotels (Sandino, Li and Huadai, 2016b). This is consistent with participative budgeting and organisational justice logic: managerial voice in goal-setting can improve commitment when the process is perceived as fair and meaningful (Libby, 1999). In CLG's case, managers are more likely to accept targets they helped create. Although this may increase workload and create some risk of budgetary slack, it supports broader ownership when senior management reviews the plans and uses local knowledge constructively.

Collaboration

CLG's reforms also improved collaboration by changing managers' focus from isolated hotel performance to regional performance. Regional profit-sharing encouraged managers to consider both existing hotels' BSC targets and wider territorial profitability. Adding new hotel openings to regional managers' BSC made expansion a shared objective rather than a threat to individual hotels (Sandino, Li and Huadai, 2016b). This reflects goal congruence, as management control systems should align individual behaviour with organisational objectives (Kennedy and Widener, 2019). Lowering existing hotels' financial targets when a nearby new hotel opened also follows the controllability principle, since managers should not be evaluated on outcomes beyond their control (Burkert, Fischer and Schäffer, 2011). These changes reduced resistance to expansion, although tensions may remain if regional managers overemphasise new openings while hotel managers worry about cannibalisation and resource competition.

The operating-unit experiment further supported hotel-level collaboration. CLG used operating units of three or four hotels to encourage task division and knowledge sharing, helping less experienced managers learn from others (Sandino, Li and Huadai, 2016b). By assigning managers to functions such as sales or quality control, CLG could promote cooperation and help units achieve more balanced BSC outcomes (Howard, Turban and Hurley, 2002). However, CLG's decision not to adopt a full group incentive plan was also reasonable, as group incentives may support common goals but can create free-rider problems and bonus risks beyond individual managers' control. Thus, CLG improved collaboration through structure and shared purpose, without fully shifting compensation risk to the group.

Long-term Strategic Growth

CLG's reforms support long-term strategic growth by connecting incentives with expansion, profitability and strategic execution. With higher profit-sharing rates and a higher financial weight in the BSC, managers were encouraged to pay more attention to revenue and profit. Also, adding new hotel openings to regional managers' BSCs made the incentive system more connected with CLG's rapid expansion strategy (Sandino, Li and Huadai, 2016b). This reflects the BSC logic of translating strategic priorities into measurable operating goals (Kaplan and Norton, 1992). The reforms therefore fitted CLG's growth model by making expansion, profitability and local execution part of managers' evaluation. However, there is still a risk: excessive focus on financial results or new hotel numbers may create "growth for growth's sake" pressure, which could weaken service consistency, customer satisfaction and brand quality.

The reforms also supported long-term growth through local adaptation and capability building. Bottom-up budgeting gave hotel managers more room to prepare business plans based on local market conditions, and operating units helped them share experience and build more balanced capabilities (Sandino, Li and Huadai, 2016b). CLG's tailored BSCs for different brands and life-cycle stages are also consistent with contingency theory, as management control systems should fit the organisational context rather than rely on one uniform design (Otley, 1980). This flexibility helped CLG adapt targets and managerial practices across a rapidly expanding hotel network. However, differentiated targets also require strong process discipline; otherwise, the system may become complex and less comparable across brands.

Overall, CLG's reforms made the incentive system more strategically aligned by strengthening financial accountability, managerial participation and cross-hotel cooperation. These changes supported rapid expansion, but the system remained incomplete. Since financial measures are mainly lagging indicators, a stronger financial focus could still encourage short-term behaviour, while service quality, customer loyalty, employee capability and brand consistency were less strongly incentivised. Therefore, the reforms improved managerial ownership and collaboration, but it did not fully solve the measurement problem identified in Question 2. This creates the need for an improved BSC in Question 4, which should preserve financial discipline while giving greater weight to the non-financial drivers of CLG's sustainable growth.

Question 4. Designing an Improved Balanced Scorecard

Following the evaluation in Q3, CLG's incentive reform can improve ownership and collaboration, but it may still overemphasise financial results and expansion speed. Since CLG expanded rapidly to 1,995 hotels by 2014, the improved BSC should translate its growth strategy into balanced measures covering profitability, customer loyalty, service standardisation, digital capability and employee development (Sandino, Li and Huadai, 2016a). This follows the BSC logic that financial and non-financial measures should be linked to strategy rather than used as isolated targets (Kaplan and Norton, 1992).

Strategy map and causal links

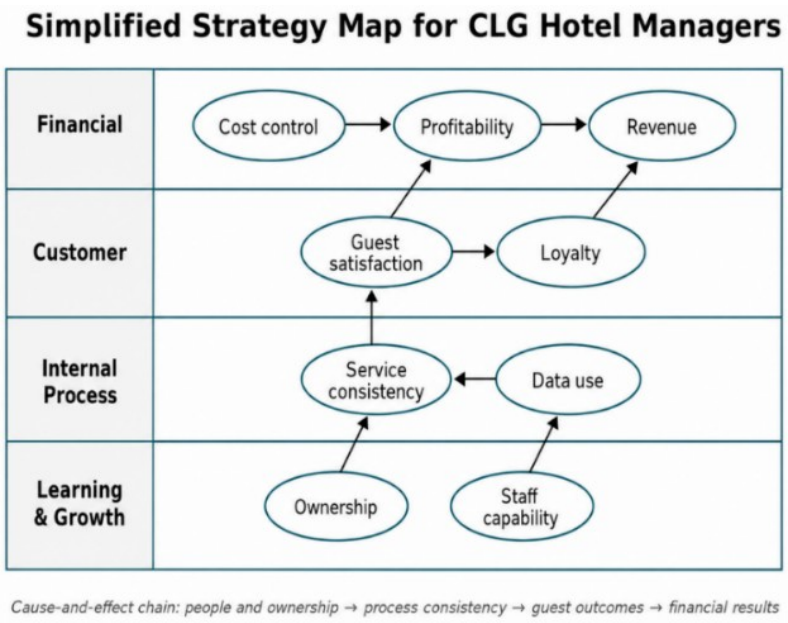


Figure 1. Strategy Map for CLG Hotel Managers

Figure 1 illustrates the causal logic of the improved BSC for CLG hotel managers. The map starts from learning and growth, focusing on manager ownership and staff capability. These factors then support better service consistency and data use in internal processes. Improved internal processes are expected to increase guest satisfaction and loyalty, which then support revenue growth, cost control and profitability. This reflects the role of the BSC as a strategic management system, because it links daily operational actions with longer-term strategic and financial outcomes (Kaplan and Norton, 2007).

Table 2 presents the proposed improved BSC for CLG hotel managers, including strategic objectives and measures across the four perspectives.

Table 2. Proposed improved BSC

Perspective	Strategic objective	Proposed measures
Financial	Improve profitability and revenue growth through expansion	RevPAR growth
		GOP margin
		revenue from newly opened hotels
		cost per occupied room
Customer	Strengthen guest satisfaction and customer retention	customer satisfaction score
		repeat customer rate
		customer retention rate
		complaint resolution rate
Internal processes	Improve operational efficiency, service consistency and expansion execution	room turnaround time
		customer waiting time
		brand standard audit score
		new hotel opening progress
Learning and growth	Build employee capability, digital capability and managerial ownership	training completion rate
		employee turnover rate
		employee satisfaction score
		IT system accuracy/reliability

As shown in Table 2, the selected measures support CLG's strategy and follow a cause-and-effect logic. Learning and growth measures, including training completion, employee turnover, employee satisfaction and IT system reliability, strengthen staff capability, managerial ownership and data-driven operations. These capabilities support internal process measures such as room turnaround time, customer waiting time, brand standard audit score and new hotel opening progress, which improve service efficiency, standardisation and expansion execution. Better internal processes then improve customer measures, including customer satisfaction, repeat customer rate, customer retention rate and complaint resolution rate. These customer outcomes are important because customer defections can directly affect profitability (Reichheld and Sasser, 1990). Finally, financial measures such as RevPAR growth, GOP margin, revenue from newly opened hotels and cost per occupied room track whether CLG achieves revenue efficiency, profitability, expansion quality and cost control during growth.

This design also reduces metric chasing. If managers are evaluated only on profit, revenue or hotel opening targets, they may sacrifice service quality, employee development or long-term brand consistency. By combining financial, customer, internal process and learning measures, the improved BSC encourages managers to focus on the operational drivers behind financial results and links their daily actions more clearly with CLG's rapid growth strategy.

Table 3 proposes different incentive weightings for mature hotels and new or developing hotels.

Table 3. Suggested incentive weighting

Hotel development stage	Financial	Customer	Internal process	Learning and growth
Mature hotels	50%	20%	20%	10%
New or developing hotels	35%	25%	25%	15%

The proposed weighting, given in Table 3, is a reflection of CLG's growth strategy, old BSC problems and incentive redesign. A higher financial weighting is warranted for mature hotels, as managers can be held more directly responsible for profitability, RevPAR and cost control. The customer and internal process measures are not dropped, because dropping them may lead to short-term profit seeking. On the other hand, financial weighting should be lower for new or developing hotels since they need to establish demand, train their staff and standardise their operation. Thus, there is a greater emphasis on customer, internal process, and learning and growth measures.

This weighting system also needs clear measurement rules. CLG should use consistent definitions and data sources for measures such as customer retention, complaint resolution, brand audit scores and IT system accuracy. The targets should also be adjusted according to hotel type and development stage, because it would be unfair to judge a newly opened hotel in the same way as a mature hotel. Regular review is also necessary to reduce gaming behaviour, where managers try to meet the scorecard numbers without really improving hotel performance.

In general, the improved BSC should not just be used for bonus calculation. It should also convey the strategy, and enable managers to have a clear view of how service

quality, employee competency, data integrity and standardisation of the operation drive financial outcomes. A regular review of the measures is necessary, as non-financial measures only have value when they are explicitly connected to strategic goals and not simply used as stand-alone measures (Ittner and Larcker, 2003).

Conclusion

As CLG's case shows, rapid growth cannot be achieved only by having a growth strategy. It also needs a management control system that supports the main drivers of that strategy. CLG's multi-brand strategy, efficient operations, service standardisation, IT-based infrastructure and member loyalty helped the company build a scalable hotel model and expand into different markets. However, these CSFs were not fully reflected in the original BSC. Although the original BSC included both financial and non-financial indicators, some indicators encouraged managers to chase the metric itself and did not clearly show important drivers such as customer loyalty, digital capability and managerial ownership.

Case B redesigned the accountability and incentive system to improve strategic alignment by strengthening financial accountability, participation and collaboration among managers. However, the reform was still not complete, because too much focus on financial results may reduce attention to service quality, employee skills and brand consistency. Therefore, an improved BSC should keep financial discipline, but also give enough attention to customer, internal process, and learning-and-growth measures. In sum, CLG's control system should help managers achieve short-term objectives, while also building the sustainable capabilities needed for long-term growth.

Appendix - AI Use Declaration

AI Tool	Purpose	Example Prompt	How Output Was Used
ChatGPT	Refine Q1 structure and wording	"How can Q1 be condensed while reducing repetition?"	Used to improve flow and wording. Final content and case evidence were checked and revised by group

			members.
ChatGPT	Check the BSC concept creators for Q2	"Who introduced the BSC and are there any relevant publications explaining this concept?"	Used to confirm the basic BSC concept and relevant sources. Final explanation was written based on course and case materials.
ChatGPT	Clarify concepts for Q3 structure	"What management accounting concepts may be relevant to ownership, collaboration and long-term growth?"	Used to organise possible concepts and wording. Final arguments were selected and revised by group members.
ChatGPT	Improve Q4 presentation layout	"Suggest a clear layout for presenting a strategy map and BSC table."	Used as a formatting reference only. Measures and causal links were decided by group members based on the CLG case.

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